Investopia

REGULATIONS AND RESEARCH DIGEST · ETHIOPIA

Ministry of Finance: proclamations, regulations and directives

Plain-English summaries of the official documents that shape investing in Ethiopia, with what each one means for investors and businesses.

PUBLIC EDITION

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Erudite Africa Investments PLC · Addis Ababa

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— Overview

Federal tax, budget, public-private partnership and investment-incentive laws and directives that Ethiopia's Ministry of Finance issues or administers. Proclamations are enacted by Parliament (the House of Peoples' Representatives) and administered by the Ministry; directives are issued by the Ministry itself. Together they set how much tax investors pay, how incentives are granted, and how PPP projects are procured.

01 Documents in this digest (19)

Budget · Enacted for budget year 2026/27; proclamation number left blank in the posted copy

2019 Fiscal Year Federal Government Budget Proclamation (Part One)

House of Peoples' Representatives (enacted by Parliament); posted and administered by the Ministry of Finance · 2026-07

This is the federal budget law for Ethiopian fiscal year 2019, which runs from 1 Hamle 2018 to 30 Sene 2019 E.C. (July 2026 to July 2027). It authorizes total spending of Birr 2,339.3 billion: Birr 1,236.5 billion recurrent, Birr 568.3 billion capital, Birr 520.6 billion in subsidies to regions, and Birr 14 billion for the Sustainable Development Goals. Like all proclamations, it is enacted by Parliament; the Ministry of Finance prepares and administers it. A Part Two spreadsheet with line-item detail is posted alongside it.

Why it matters: The budget shows where federal capital spending and procurement opportunities will be in 2026/27, and how much the government needs to borrow and collect in taxes.

Tax administration · Draft (second draft posted May 15, 2026); enactment not confirmed

Federal Tax Administration (Amendment) Proclamation (draft, Amharic)

Draft amendment to Proclamation No. 983/2016 · Ministry of Finance (draft for enactment by the House of Peoples' Representatives) · 2026-05

This draft would amend the Federal Tax Administration Proclamation No. 983/2016, which Parliament enacted and the Ministry administers. It would add a mediation process for tax disputes (generally to be completed within 60 days) and allow reassessment within 10 years where fraud is proven and 5 years otherwise. It would also limit new evidence at the appeal stage, allow conditional tax clearance certificates, and support electronic and QR-coded receipts. Penalties would rise, including a 100,000 birr fine per receipt not issued, and company managers and finance heads would be presumed liable for tax offences.

Why it matters: If enacted, the draft changes audit exposure, how disputes are settled, and the personal liability of directors and finance staff. It also requires banks to see a tax clearance certificate before foreign investors repatriate profits or sale proceeds.

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Tax In force

Income Tax (Amendment) Proclamation

Proclamation No. 1395/2025 · House of Peoples' Representatives (enacted by Parliament); administered by the Ministry of Finance · 2025

This proclamation amends the Federal Income Tax Proclamation No. 979/2016. It is enacted by Parliament and administered by the Ministry of Finance. It sets the Category A taxpayer threshold at annual turnover above Birr 2,000,000 and treats services and construction activities as a permanent establishment once they exceed 91 days in a tax year. It treats income from digital services that non-residents provide in Ethiopia as Ethiopian-source income, and it replaces the employment and rental income tax rate tables (top rate 35%).

Why it matters: Foreign service providers, digital businesses and contractors working in Ethiopia face wider tax exposure, and employers must apply the new payroll brackets. The posted scan is hard to read, so check exact rates against the gazetted text.

Tax In force

Value Added Tax Proclamation

Proclamation No. 1341/2024 · House of Peoples' Representatives (enacted by Parliament); administered by the Ministry of Finance · August 21, 2024

This new VAT law, published in the Federal Negarit Gazette (30th Year No. 61) on 21 August 2024, replaces the earlier VAT framework. Parliament enacted it and the Ministry of Finance administers it. It keeps the 15% standard rate and a 0% rate for zero-rated supplies (Schedule 1), and lists exempt supplies and imports in Schedules 2 and 3. Registration is compulsory once taxable supplies exceed Birr 2,000,000 in 12 months, and the law covers remote and electronic supplies, including reverse charge on some services from overseas providers.

Why it matters: Most businesses must register, charge VAT and file returns under this law. Foreign digital and e-commerce suppliers selling into Ethiopia now fall within its scope.

Tax In force

Directive on Registration for Value Added Tax

Directive No. 1104/2025 (1104/2017 E.C.) · Ministry of Finance · 2025-09

Issued under Article 12(2) of VAT Proclamation No. 1341/2024, this directive says who must register for VAT. That includes Category A income taxpayers, taxpayers required to keep books of account or who keep them voluntarily, and anyone whose combined taxable and exempt turnover exceeds Birr 2,000,000. Existing taxpayers covered by the directive had 30 days from its effective date to register.

Why it matters: Companies that keep books must register for VAT whatever their turnover, which brings many small and mid-sized firms and their suppliers into the VAT system.

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Tax In force

A Directive to Determine the Amount of Electricity and Water Consumption for Domestic Use Exempt from Value Added Tax

Directive No. 1021/2024 · Ministry of Finance · September 5, 2024

Issued under Annex 2 of VAT Proclamation No. 1341/2024, this directive exempts monthly household consumption of up to 200 kWh of electricity and 15 cubic meters of water (excluding bottled water) from VAT. Electricity generators and transmitters must collect and remit VAT on wholesale supplies.

Why it matters: Commercial and industrial electricity and water use is subject to VAT. Utilities and power producers must collect VAT on wholesale supplies.

Transfer pricing In force

A Directive to Provide Rules on Transfer Pricing

Directive No. 981/2024 · Ministry of Finance · 2024-01

Issued under Article 79 of the Federal Income Tax Proclamation No. 979/2016, this directive replaces Transfer Pricing Directive No. 231/2021. It applies the arm's length principle to domestic and cross-border transactions between related persons with annual turnover above Birr 500,000. It sets out five approved pricing methods, rules for intra-group services and intangibles, and advance pricing arrangements valid for up to five tax periods. Contemporaneous documentation must be ready by the return filing date and provided within 45 days of a request.

Why it matters: Multinational subsidiaries and related-party groups in Ethiopia must price intra-group dealings at arm's length and keep transfer pricing files. Adjustments can only increase taxable income, and penalties apply for missing documentation.

Excise In force

The Excise Stamp Management Directive

Directive No. 1004/2024 · Ministry of Finance · 2024-05

Issued under the Excise Tax Proclamation No. 1186/2020 (enacted by Parliament and administered by the Ministry), this directive requires digital excise stamps with unique identifiers and a track-and-trace system. It covers spirits, beer, wine, ready-to-drink alcoholic beverages, tobacco products, bottled water and carbonated or sweetened soft drinks. Manufacturers and importers apply to the Tax Authority, pay stamp fees, fund on-site system equipment, and must stamp goods at the factory or at customs. Goods without the required stamp may be seized after a 120-day transition.

Why it matters: Beverage, tobacco and bottled-water producers and importers face new compliance costs, production-line controls and seizure risk.

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Excise In force

A Directive Issued to Make Adjustments to the Specific Rates of Excise Tax

Directive No. 1007/2024 · Ministry of Finance · 2024-06

Under Article 10(2) of the Excise Tax Proclamation No. 1186/2020, which requires at least yearly inflation indexing, this directive raises the specific excise rates on alcohol, tobacco and plastic bags using the GDP deflator. Examples: malt beer pays 40% or Birr 28 per liter, whichever is higher; cigarettes pay 30% plus Birr 20 per pack of 20; plastic shopping bags pay Birr 103 per kg. Lower beer rates apply where local barley or at least 75% local raw material is used.

Why it matters: Brewers and tobacco firms should expect yearly increases in specific rates. The lower rates for local inputs reward sourcing raw materials locally.

Excise In force

Excise Tax Management System Directive

Directive No. 1071/2025 (1071/2017 E.C.) · Ministry of Finance · 2025-05

Issued under the Excise Tax Proclamation, this directive requires dealers in excisable goods to hold a license for listed activities. It sets security, storage, stock-record and waste-disposal rules for licensed premises. The Tax Authority may require seals, cameras, flow meters and remote-view access, and may require automated production in some industries. Existing importers and manufacturers are deemed licensed.

Why it matters: Excisable-goods manufacturers and importers must meet licensing and monitoring requirements. The Amharic and English texts differ on some figures, so check them against the official text.

Incentives In force

Directive for the Implementation of Investment Incentives

Directive No. 1064/2025 (1064/2017 E.C.) · Ministry of Finance · May 26, 2025

Issued under Investment Incentives Regulation No. 517/2022, this directive sets the procedure for income tax holidays and customs duty exemptions. It replaces earlier agency and Investment Board decisions on the subject. It lists the documents investors must provide, the grounds and procedure for revoking incentives (with a 30-day appeal), and the duty-free construction materials allowed, which are imported in 30/30/40 stages. Investors must buy local capital goods when they are available.

Why it matters: This is the working rulebook for claiming and keeping tax holidays and duty-free imports. Investors who lose an incentive must repay the exempted taxes with interest and penalties.

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Incentives Draft

Council of Ministers Regulation on Investment Incentives (revised draft)

Draft regulation (number blank) · Council of Ministers (draft posted by the Ministry of Finance) · 2025-10

This draft would replace tax holidays with an outcome-based system. The tools would be reduced income tax rates, a capital cost allowance, and exemptions from minimum tax, dividend tax and capital gains tax, as well as customs duty relief. It proposes, for example, a 5% rate for Special Economic Zone developers and startups for 10 years, and reduced rates for listed manufacturing sectors, exporters and renewable-energy users. Incentives would be tied to signed performance agreements that the government could revoke if targets are not met.

Why it matters: If adopted, the draft would reshape the incentive package for new investments. Investors planning projects should follow it closely.

PPP In force

Directive on Structural Cost Reduction and Enhanced Transparency in the Power Sector

Directive No. 1067/2025 (1067/2017 E.C.) · Ministry of Finance · May 26, 2025

Issued under Article 65(2) of the PPP Proclamation No. 1076/2018, this directive requires new power investments to follow an integrated least-cost plan approved by the PPP Board. It requires competitive procurement of new PPP power projects, with limited published exemptions. The Ethiopian Energy and Petroleum Authority approves power purchase agreements and reviews tariffs, and state utilities must compete openly with private players.

Why it matters: Independent power producers get a more transparent, competitive route into the sector. Projects outside the plan need special validation and Board approval.

PPP In force (repeal provisions not legible in the posted copy)

Directive Issued to Implement the Public-Private Partnership Proclamation

Directive No. 242/2013 (E.C.) · Ministry of Finance · 2021

Issued under Article 65(2) of the PPP Proclamation in 2013 E.C. (2020/21), this Amharic directive sets out how the nine-member PPP Board and the PPP Directorate General operate. It covers the approval stages from identification to tender, prequalification and bid evaluation, with a local-content preference of up to 7%. It also covers agreement terms (typically 20 to 30 years), direct negotiation under strict conditions, unsolicited proposals and ethics rules.

Why it matters: Private bidders on Ethiopian PPPs should read it for the procurement steps, the evaluation rules and the treatment of unsolicited proposals.

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PPP Status not confirmed; Directive No. 242/2013 (E.C.) later issued on the same subject

A Directive Issued to Implement Public Private Partnership

Directive No. 55/2010 (E.C.)/2018 · Ministry of Finance and Economic Cooperation · July 19, 2018

This first implementing directive under PPP Proclamation No. 1076/2018 is available in English and entered into force on 19 July 2018. It covers PPP Board procedures, the PPP pipeline and approval criteria, tendering and bid evaluation, competitive dialogue for complex projects, limited direct negotiation, and unsolicited proposals. Contract durations are generally 10 to 30 years.

Why it matters: This is the English reference for how Ethiopia's PPP process was designed. Check Directive 242/2013 (E.C.) for the current rules.

PPP

In force, as amended (amendment Proclamation No. 1283/2023 is posted by the Ministry but its scan could not be read)

Public Private Partnership Proclamation

Proclamation No. 1076/2018 · House of Peoples' Representatives (enacted by Parliament); administered by the Ministry of Finance · February 22, 2018

Published in the Federal Negarit Gazette (24th Year No. 28) on 22 February 2018, this proclamation sets up Ethiopia's PPP framework. Parliament enacted it and the Ministry of Finance administers it. It creates a PPP Board chaired by the Finance Minister and a PPP Directorate General within the Ministry. Contracting authorities run feasibility and value-for-money studies, and projects are procured by open, competitive bidding after Board approval. It excludes oil, mining, air space rights and privatization.

Why it matters: This is the core law for private investors bidding on infrastructure and public-service concessions in Ethiopia, including how government support and incentives are requested.

Tax policy Published (policy)

National Medium-Term Revenue Strategy, FY 2024/25 to FY 2027/28

Ministry of Finance and Ministry of Revenue · 2024-08

The strategy aims to reverse Ethiopia's falling tax-to-GDP ratio, targeting about 13.2% by FY 2027/28 through tax policy measures (about 3% of GDP) and administration measures (about 2.9% of GDP). Planned steps include property and vehicle taxes, fewer VAT and import exemptions, a minimum alternative tax, a move to global income taxation, inflation-indexed excise rates and fewer tariff bands. It also plans e-invoicing and integrated tax and customs systems.

Why it matters: It signals the direction of upcoming tax laws, including fewer exemptions and wider bases, which investors should factor into long-term plans.

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Public debt · Published (statistics)

Public Sector Debt Statistical Bulletin No. 56

Bulletin No. 56 · Ministry of Finance (Debt Management Division) · 2026-02

The bulletin reports total public sector debt of USD 52.1 billion at 31 December 2025, down 2.0% from June 2025. External debt was USD 34.5 billion (66%) and domestic debt USD 17.7 billion (34%). The central government held 77% of the debt and state-owned enterprises 23%. IDA is the largest external creditor (41%), followed by non-Paris Club bilateral lenders (22%) and commercial banks (12%).

Why it matters: It shows the sovereign debt position that shapes Ethiopia's credit risk, Treasury bill supply and foreign exchange outlook. Lenders and investors in government securities can use it to judge that risk.

Property tax · Draft (model law)

Regional State Property Tax Proclamation (model law)

Model proclamation (number blank) · Ministry of Finance (model for regional state councils) · 2025-12

The Ministry published this model law for regional states to implement the Federal Property Tax Proclamation No. 1365/2025. It would tax urban land-use rights at 0.2% to 10% and buildings at 0.1% to 10% of a taxable value equal to 25% of market value, phased in over four years. Vacant land and unused buildings would pay the maximum rate.

Why it matters: Owners of urban land and buildings, including real estate developers and industrial occupiers, should expect new annual property tax bills as regions adopt laws like this one.

References for members. Every figure and statement in this digest is drawn from documents published by international institutions and the Government of Ethiopia. Direct links to every original document are is included in the member edition, available free to registered Investopia members on the platform.

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